Microsoft Corporation

Microsoft Reports Second Quarter Fiscal 2026 Results

REDMOND, WASHINGTON — January 27, 2026 — Microsoft Corporation (Nasdaq: MSFT) today announced financial results for its fiscal 2026 second quarter ended December 31, 2025.

- Revenue of $59.7 billion, up 13% year over year (15% in constant currency)
- GAAP diluted EPS of $2.94
- Operating income of $25.3 billion, a 42.4% margin
- Microsoft Cloud revenue: $31.1 billion
- Azure and other cloud services growth: 31%

“Q2 FY2026 was another record quarter for Microsoft. Revenue grew 13% to $59.7 billion, with Intelligent Cloud up 19% on Azure and other cloud services growth, including the AI services contribution,” said Elena Marsh, Chief Executive Officer. “We remain focused on execution and on returning capital to shareholders.”

“Operating cash flow was $29.5 billion and we returned $6.8 billion to shareholders through dividends and repurchases. Diluted earnings per share were $2.94,” said Thomas Keller, Chief Financial Officer.

Operating highlights

Microsoft Cloud revenue	**$31.1 billion**
Azure and other cloud services growth	**31%**
Capital expenditures including finance leases	**$15.5 billion**

Productivity and Business Processes revenue was $21.5 billion, up 12.9% compared with $19.0 billion in the prior-year period, reflecting Microsoft 365 commercial seat growth and Copilot attach.

Intelligent Cloud revenue was $26.3 billion, up 19.2% compared with $22.1 billion in the prior-year period, reflecting Azure and other cloud services growth, including the AI services contribution.

More Personal Computing revenue was $11.9 billion, up 3.4% compared with $11.5 billion in the prior-year period, reflecting Windows OEM and devices against a soft PC market, offset by search and news advertising.

Business outlook

Microsoft will provide forward-looking guidance in connection with this quarterly earnings announcement on its earnings conference call and webcast.

Dividend

The Board of Directors declared a cash dividend of $0.80 per share of common stock, payable to shareholders of record as of the close of business in the second month of the coming quarter.

Conference call

Microsoft will host a conference call and webcast at 2:00 p.m. PT today to discuss these results. A replay will be available on the investor relations website for approximately two weeks.

Forward-Looking Statements

This release contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995, including statements about Microsoft's outlook, product plans, capital expenditures and capital return. These statements involve risks and uncertainties, and actual results may differ materially. Factors that could cause results to differ include those described under 'Risk Factors' in the Company's most recent Annual Report on Form 10-K and subsequent Quarterly Reports on Form 10-Q. The Company undertakes no obligation to update forward-looking statements.

About Microsoft

Microsoft enables digital transformation for the era of an intelligent cloud and an intelligent edge. Its mission is to empower every person and every organization on the planet to achieve more. The Company's fiscal year ends June 30.

Contacts

Investor Relations: Jonathan Pryce, investor_relations@microsoft.com
Media: press@microsoft.com

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS

(Unaudited) (in millions, except per-share amounts)

	Three months ended Dec 31, 2025	Three months ended Dec 31, 2024	Three months ended Dec 31, 2025	Three months ended Dec 31, 2024
Revenue	59,722	52,642	114,452	100,617
Cost of revenue	18,875	16,532	36,135	31,625
Gross margin	40,846	36,110	78,317	68,992
Operating expenses:				
Research and development	7,465	6,580	14,307	12,577
Sales and marketing, general and administrative	8,062	7,107	15,451	13,583
Total operating expenses	15,528	13,687	29,758	26,160
Operating income	25,319	22,423	48,559	42,832
Other income, net	119	105	229	201
Income before income taxes	25,438	22,528	48,788	43,033
Provision for income taxes	4,579	4,055	8,782	7,746
Net income	20,859	18,473	40,006	35,287
Earnings per share:				
Basic	$2.96	$2.62	$5.67	$5.00
Diluted	$2.94	$2.60	$5.64	$4.97
Shares used in computing diluted EPS (thousands)	7,095,007	7,104,993	7,096,256	7,106,241
Cash dividends declared per share	$0.80	$0.80	$1.60	$1.60

Revenue by segment (in millions)

Segment	Q2 FY2026	Q2 FY2025	Change
Productivity and Business Processes	21,460	19,016	12.9%
Intelligent Cloud	26,336	22,093	19.2%
More Personal Computing	11,926	11,533	3.4%
Total	**59,722**	**52,642**	**13.4%**

Constant-currency growth (non-GAAP)

	Reported growth	Constant-currency growth
Productivity and Business Processes	12.9%	14.5%
Intelligent Cloud	19.2%	20.8%
More Personal Computing	3.4%	5.0%
Total revenue	**13.4%**	**15.1%**

Constant-currency growth removes the effect of foreign exchange rate movements by translating current-period results at prior-period rates.

CONDENSED CONSOLIDATED BALANCE SHEETS

(in millions) (Unaudited)

	Dec 31, 2025	Jun 30, 2025
ASSETS		
Cash, cash equivalents and marketable securities	80,555	74,000
Accounts receivable, net	26,875	25,990
Inventories	1,194	1,155
Other current assets	4,778	4,620
Total current assets	113,402	105,765
Property, plant and equipment, net	403,718	390,425
Goodwill and intangible assets	53,749	51,980
Other non-current assets	20,903	20,214
Total assets	591,772	568,384
LIABILITIES AND SHAREHOLDERS' EQUITY		
Accounts payable	25,083	24,257
Other current liabilities	17,916	17,327
Total current liabilities	43,000	41,584
Long-term debt	46,000	46,000
Other non-current liabilities	237,468	240,801
Total liabilities	326,467	328,384
Total shareholders' equity	265,305	240,000
Total liabilities and shareholders' equity	591,772	568,384

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS

(in millions) (Unaudited)

	Six months ended Dec 31, 2025	Six months ended Dec 31, 2024
Operating activities:		
Net income	40,006	35,287
Depreciation and amortization	12,590	11,068
Share-based compensation expense	5,150	4,528
Changes in operating assets and liabilities and other	(1,145)	(1,006)
Cash generated by operating activities	56,602	49,876
Investing activities:		
Payments for acquisition of property, plant and equipment	(29,758)	(26,160)
Purchases and maturities of marketable securities, net	(6,792)	(5,985)
Cash used in investing activities	(36,550)	(32,145)
Financing activities:		
Payments for dividends	(11,354)	(11,370)
Repurchases of common stock	(2,250)	(2,250)
Proceeds from (repayments of) debt, net	0	0
Cash used in financing activities	(13,604)	(13,620)
Increase (decrease) in cash and cash equivalents	6,448	4,111